Ref: Directive 141.B.i (ST)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers		Reference:	10/17/1 & 10/7/1/17B
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1st	1 August 2003	1 August 2003	141.B.i (ST)	In force
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DIRECTIVE ON INVESTMENT IN SHARES OF THE INSURER'S HOLDING COMPANY

1. Purpose of this directive

This directive gives an overview of the position regarding the holding by insurers of shares in their holding company as contained in section 33(1)(e) of the Short-term Insurance Act, 1998, and practices the Financial Services Board will consider.

2. Background

In this overview, section 33 refers to that section in the Short-term Insurance Act, 1998, sections 39 and 85 to 89 refer to those sections in the Companies Act, 1973, "Registrar" means the Registrar of Short-term Insurance, and "insurer" means a short-term insurer as defined in the 1998 Act.

2.1 The position before the amendment of the Company Act in 1999

Apart from the exceptions mentioned below, an insurer could not hold shares in its holding company. Section 39(1) prohibited it.

First exception: Section 39(1), as confirmed by section 39(2), did not apply to the holding by a subsidiary of shares in its holding company as trustee - namely where the subsidiary held the shares not for its own beneficial ownership, but for the beneficial ownership of another. Section 39(1) applied only to the holding by a subsidiary of shares in its holding company for its own beneficial ownership.

It seems unlikely that an insurer would have held shares in its holding company as trustee.

Second exception: Section 39(1) also did not apply to shares a subsidiary acquired in its holding company before it became a subsidiary of its holding company. Section 39(3)(a) contained this exception. But, it could not exercise the voting rights of those shares.

2.2 The position after the Companies Act was amended in 1999 ("the 1999 amendment") to allow subsidiaries to hold shares in their holding companies

The 1999 amendment, which is reflected mainly in the amended section 39(1) and the new sections 85 to 89, created a murky position. Company law experts have commented that the 1999 amendment will have to be revisited and revised, to clear the air.

In terms of section 89 a subsidiary may acquire shares in its holding company. All the subsidiaries of the holding company together may not acquire more than 10% of the issued shares in the holding company.

To acquire the shares, the subsidiary must comply with the procedural requirements in sections 85 to 88, to the extent that they apply. Sections 85 to 88 deal primarily with the buy-back of shares. Some of these procedural requirements are:

- The subsidiary must be authorised by its articles of association to acquire shares in its holding company.
- The acquisition must be approved by a special resolution.
- The subsidiary must comply with liquidity and solvency tests before making the acquisition.

Section 39(1) now provides that, while a subsidiary holds shares in its holding company that it "acquired in accordance with section 89":

- the voting rights of those shares may not be exercised by the subsidiary;
- the percentage of votes able to be cast at a meeting of shareholders must be reduced by the number of shares held by the subsidiary.

2.3 The addition of section 33(1)(e)

"An insurer shall not **include in its assets shares held directly or indirectly in its holding company**, without the approval of the Registrar, given generally or in a particular case, and subject to such conditions as the Registrar may determine."

The section stated, “shares held directly or indirectly” which must be interpreted as follows:

- the insurer, directly, or indirectly through a subsidiary or trust, holds shares in its holding company;
- the insurer, directly, or indirectly through a subsidiary or trust, holds shares in its holding company under a share incentive scheme linked to shares in its holding company, but
- it does not apply where
  - the insurer holds shares in its holding company under a collective investment scheme or security instruments based on an index (e.g.: SATRIX 40); and

– shares obtained by a subsidiary that is an insurer and has already obtained the required approval from the Registrar.

Under section 33(1)(e) the Registrar will apply the following policy:

(a) The insurer must obtain approval for shares in its holding company already held before 1 August 2003 and thereafter for any shares before they are acquired, otherwise it cannot be included in the insurer's assets. This includes shares obtained before the insurer or its subsidiaries became subsidiaries of the holding company.

(b) The holding company may be incorporated in the Republic or outside the Republic.

(c) The holding company will be deemed to be a holding company as defined in the Companies Act, 1973 (Sections 1(3)(a) and 1(4) refer).

(d) The shares in the holding company must be acquired in terms of Section 89 of the Companies Act, 1973.

(e) The insurer shall not have the right to vote at meetings of the holding company or of any class of members thereof.

(f) The shares of the holding company of the insurer should be listed on a stock exchange or similar trading facility, which is recognised generally by the international community of institutional investors.

(g) The insurer, together with all the other subsidiaries holding shares in the holding company, may not hold more than 10%, in the aggregate, of the issued share capital of the holding company. (Note: If shares are already held in an unlisted holding company, approval must be obtained although the value of the shares will be nil.)

(h) The insurer must at all times adhere to the requirements of section 31(1) of the Act.

When the insurer has shares in its holding company, the insurer will be required to disclose the position regarding shares held by the insurer, directly or indirectly, together with the subsidiaries of the holding company in the annual statutory return which has to be submitted to the Registrar.

2.4 Holding company is a bank or bank-controlling company

The regulations applicable to banks and bank-controlling companies state the following:

Regulation 22 Consolidated return – paragraph (13) Cross-holdings:

(a) Since none of the reciprocal holdings represent externally generated capital, both holdings of capital should be excluded from the assessment of group capital.

(b) Large cross-holdings of capital can permit difficulties in one entity to be transmitted quickly to other entities in the group.

(c) Existing cross-shareholdings within a banking group should be phased out.

Insurance companies whose holding company, in which they want to obtain or have shares, is a bank or bank controlling company need prior approval from the Bank Supervision

Department of the South African Reserve Bank, before the Registrar will approve the application.

3. Applications that need to be made to the Registrar

Separate applications must be made for each of the following according to Section 33(1)(e) of the Short-term Insurance Act:

- Shares which an insurer held directly or indirectly in its holding company before 1 August 2003; and
- Shares to be acquired directly or indirectly in its holding company before they can be included in the insurers assets.

4. Information sharing of directive

This directive is available on the website of the FSB (www.fsb.co.za) and the insurer must bring it to the attention of its auditor (appointed under section 19 of the Act) .

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